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RISK-RETURN RELATIONSHIP: A STUDY OF SELECTED STOCKS IN THE INDIAN EQUITY MARKET

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ABSTRACT:

The relationship between risk and return is crucial when individuals make investment decisions. It concerns the equilibrium between the chance to earn money and the unpredictability of the investment. This research examines the relationship between risk and return for various stocks in the Indian stock market. It examines five firms that are registered on the National Stock Exchange and the Bombay Stock Exchange, which include Reliance Industries, Tata Consultancy Services, HDFC Bank, Infosys, and ICICI Bank. The research employs data on stock prices ranging from 2020 to 2025. It employs a comprehensive approach to analyze stock performance by utilizing metrics such as average return, standard deviation, beta, and the relationships among these factors. The findings indicate a relationship between risk and return, suggesting that stocks with significant fluctuations tend to yield greater returns. This is what conventional financial concepts such as Modern Portfolio Theory and the Capital Asset Pricing Model indicate. Among the chosen stocks, ICICI Bank exhibited higher risk and return, while HDFC Bank showed more stable returns with reduced risk. The research indicates that although the relationship between risk and return remains valid in the stock market, external events and economic unpredictability can influence stock performance. The study's findings are useful for investors, enabling them to make informed decisions and handle the risks associated with their investments.

Keywords: *Return-risk correlation, Indian stock market, equity analysis, portfolio strategy, investment choice.*

Introduction

The connection between risk and return is crucial in finance and investment management. It assists individuals in making investment choices and grasping why certain investments perform better than others. Essentially, if you seek returns, you must be ready to accept greater risk. By taking a cautious approach, your returns are likely to decrease. You can rely on them more. This is a topic that Brealey, Myers, and Allen discussed in 2020. It influences every financial choice you make, from selecting stocks to long-term planning. For individuals who invest, grasping this balance is crucial. It allows you to understand what to anticipate and establish reasonable objectives.In today's world, capital markets hold significant importance. They contribute to economic growth and generate wealth. Individuals and businesses invest their funds in these markets aiming to earn some profit. The reality is that financial markets are in constant flux. Stock prices fluctuate due to factors such as the economy, political events, company performance, and investor sentiment. Bodie, Kane, and Marcus stated this in 2018. Due to these uncertainties, investors must exercise caution. They need to consider what they might gain and the level of risk involved before reaching a decision. This is why grasping risk and return is crucial, particularly in the stock market, where conditions can shift rapidly.

Risk in finance pertains to the uncertainty regarding future events. This implies that the returns you receive from an investment may not align with your expectations, and there is a possibility of losing money. Return is the outcome of your investment. It is typically a portion of the funds you invest. These two aspects are linked as individuals who invest generally seek compensation for taking risks. Yet individuals who invest do not share the same mindset. Certain individuals prefer to take fewer risks and are fine with receiving a smaller return. Some individuals are at ease with taking risks as they aim to increase their earnings. This is the reason why considering risk and return is crucial.

Individuals began to grasp risk and return more effectively when fresh concepts regarding money emerged. An individual who contributed significantly was Harry Markowitz. In 1952, he penned an article on Modern Portfolio Theory. Markowitz stated that individuals should not examine each investment individually. They need to consider how all their investments interrelate. He stated that investing your money in various assets can prevent losses and potentially yield decent returns. This concept transformed how individuals create their portfolios. It remains significant in the present.

Markowitz conducted research, and then in 1964, Sharpe introduced the Capital Asset Pricing Model, known as CAPM. The Capital Asset Pricing Model illustrates how risk influences the returns investors can anticipate from their investments. The Capital Asset Pricing Model indicates that investors should be

compensated solely for the risk they cannot eliminate, regardless of their investment diversity. This type of danger is referred to as risk. The Capital Asset Pricing Model utilizes a metric known as beta to assess this risk, indicating how significantly a stock's price fluctuates in response to market movements. The Capital Asset Pricing Model gained significant popularity in finance as it provides a method for individuals to assess whether an investment is worthwhile.

In 1970, Fama made an additional impact on how individuals perceive money. Fama presented the Efficient Market Hypothesis, often referred to as EMH. The Efficient Market Hypothesis states that a stock's price reflects all available information regarding that stock. This implies that it is more difficult for investors to earn profits than normal without assuming additional risk. The Efficient Market Hypothesis illustrates that risk and return are interconnected, as one can only expect to earn profits by agreeing to assume greater risk. Although there have been disagreements regarding the Efficient Market Hypothesis over the years, it remains a concept that investors consider when seeking to profit from their investments.

When investing your money in the stock market, you need to consider two types of risks: systematic risk and unsystematic risk. Systematic risk resembles a wave that impacts the entire market. It encompasses factors such as shifts in inflation, alterations in interest rates, economic recessions, and political upheaval. Such factors can impact any business, so diversifying your investments won't eliminate this type of risk. Systematic risk is significant because it can affect the whole stock market. The stock market is a place for buying and selling shares of companies, and systematic risk can cause fluctuations in its value. This is the reason systematic risk is an aspect that all investors need to consider. On the other hand, unsystematic risk pertains more to a specific company or sector. For instance, a business may encounter difficulties with its leadership or processes. You can minimize this type of risk by investing your money in various sectors and companies. In this manner, if one company underperforms, the others can compensate for it.

The Indian stock market offers a fascinating perspective on the relationship between risk and return. This is due to the rapid growth of the Indian stock market and its increasing significance worldwide. India ranks among the expanding economies globally, with its stock market drawing investors from both domestic and international locations. The two stock exchanges in India are the Bombay Stock Exchange and the National Stock Exchange, which encompass a variety of sectors including banking, information technology, energy, pharmaceuticals, and manufacturing. The expansion of these stock exchanges indicates the increasing size of the Indian economy. The Indian stock market is integral to the Indian economy and it keeps expanding while drawing in new investors.

The Indian stock market has experienced numerous transformations over the past thirty years. In 1991, when India liberalized its economy to foreign nations, it welcomed international investors, increasing market

competition and improving efficiency. The Indian stock market grew quicker and more transparent thanks to technologies such as electronic trading systems. The Securities and Exchange Board of India established new regulations to safeguard investors and enhance their confidence in the market. All these factors have improved the Indian stock market as a destination for investors' funds.

Despite all these positive changes, the Indian stock market remains highly unpredictable. Events occurring within India, such as the rapid growth of the economy, inflation rates, and government spending, significantly influence stock prices. Events occurring globally, such as fluctuations in oil prices, disputes between nations, and economic slowdowns in major countries, also influence market performance. This implies that investors in India need to exercise caution and carefully consider the potential risks and benefits. The COVID-19 pandemic illustrates the uncertainty within the market. Global stock markets experienced significant declines as uncertainty grew regarding the future of businesses and the economy. The Indian stock market experienced a challenging period with significant declines in the major stock indices before they rebounded robustly. This demonstrated how unforeseen occurrences can alter the risks and benefits of investing and highlighted the necessity for investors to grasp how the market operates during uncertain times. The Indian stock market continues to be a venue where investors can earn profits. They need to be cautious and remain aware of the developments in the Indian stock market.

To determine the level of risk and return associated with an investment, investors utilize various financial tools. The average return is valuable as it allows us to evaluate how effectively an investment has performed over time. Standard deviation is essential as it indicates the fluctuation of returns, serving as a method to assess the overall risk associated with an investment. Beta quantifies the risk associated with the market by examining how the price of a stock moves in relation to the movement of the market index. Correlation analysis proves valuable as it reveals the relationship in movements between various investments, as demonstrated in the research conducted by Elton and colleagues in 2014. All these tools combined offer investors methods to evaluate investments and create well-rounded portfolios.

This research examines the connection between risk and return for equities in the Indian stock market. We selected five firms from varied sectors: Reliance Industries from the energy sector, Tata Consultancy Services and Infosys from the IT sector, and HDFC Bank and ICICI Bank from the banking sector. We selected these companies due to their activity in the market, high trading volumes, and significance to the major stock indexes. Analyzing firms from various sectors provides insight into how risk and return function across different industries.

These firms hold significant importance as they rank among the most impactful enterprises in India. Reliance Industries engages in various sectors such as energy, telecommunications, and retail, making it one

of the largest corporations in India. Tata Consultancy Services and Infosys are prominent IT firms globally, generating significant revenue from exports while experiencing consistent growth. HDFC Bank and ICICI Bank are among the private banks in India, which significantly contribute to the nation's financial structure, as highlighted by NSE India in 2024. The performance of their stocks provides insights into the events in their particular sectors and the overall market.

Literature Review

The connection between risk and return has been among the most thoroughly examined topics in finance and investment studies. It lays the foundation of investment theory and aids in clarifying how investors decide amid uncertainty. The concept that increased risk correlates with greater expected return has been backed by numerous theoretical and empirical research, although real-world evidence frequently reveals differences based on market circumstances and investor actions.

Harry Markowitz established the groundwork for risk-return analysis in 1952 when he presented the Modern Portfolio Theory (MPT). Markowitz contended that by creating diversified portfolios, investors can enhance returns while reducing risk. His theory highlighted that risk ought to be considered at the portfolio level rather than at the level of individual assets. He employed variance and standard deviation as principal metrics of risk and demonstrated that diversification diminishes unsystematic risk. This study established the basis for contemporary portfolio management and investment evaluation.

William F. Sharpe (1964) built upon Markowitz's theory by developing the Capital Asset Pricing Model (CAPM), which clarified the connection between systematic risk and anticipated return. CAPM states that beta reflects how a stock's returns react to market fluctuations, and investors receive compensation solely for systematic risk since unsystematic risk can be eliminated through diversification. Sharpe's model continues to be one of the most commonly utilized methods for assessing stock performance and predicting expected returns.

Eugene F. Fama conducted research in 1970. He developed the Efficient Market Hypothesis. This concept suggests that stock prices reflect all the information currently accessible. Thus, it is difficult for investors to earn money more easily without assuming greater risks. This is due to the market's rapid shifts when fresh information emerges. Eugene F. Fama's research enhanced our comprehension of the relationship between risk and return. It impacted additional research as well.

Eugene F. Fama and French conducted another study in 1992. They claimed that the Capital Asset Pricing Model, abbreviated as CAPM, is not completely accurate. They contended that solely examining beta is insufficient to grasp why stocks perform well or poorly. They discovered that other factors, such as the company's size and the book-to-market ratio, are also significant. This indicates that the returns on stocks are

shaped by various factors, in addition to the overall risk that impacts everything. This research generated concepts regarding asset pricing and enhanced our comprehension of the interplay between risk and return. In India, certain individuals have experimented with these concepts to determine their effectiveness. In 2015, a study was conducted by Bajpai and Sharma. They examined if the Capital Asset Pricing Model is effective in the stock market. They applied a technique known as rolling regression and discovered that the model continues to clarify the reasons for stocks' strong or weak performance. They also discovered that market fluctuations can influence the effectiveness of the model. Their research validated that the risk impacting all stocks is significant for achieving returns in the Indian market. Eugene F. Fama and the Efficient Market Hypothesis remain concepts in India.

In 2017, Poornima and Swathiga conducted research on certain stocks listed on the National Stock Exchange. They aimed to explore the connection between risk and return through a concept known as CAPM. What they discovered was that this connection varies across sectors. Certain sectors earned profits with reduced risk, while others incurred higher risk but generated lower profits. This indicates that events in a sector can influence a stock's performance.

Tamilselvan examined the relationship between additional returns and risk metrics in the Indian stock market in 2011. He discovered that a factor known as beta remains highly significant regarding stock returns. Nonetheless, his study also indicated that alternative risk metrics can influence the variability of returns. This indicates that outdated models may struggle to grasp how the market operates.

In 2009, Mahajan and Singh examined the relationship between return trading volume and volatility on the Bombay Stock Exchange. They discovered that an increase in trading volume leads to a rise in return volatility. Their research indicated that the dissemination of information in the market can significantly influence stock prices and the dynamics of risk and return in the stock market.

Research has examined NIFTY stocks regarding the risk-return characteristics in the Indian equity market. Muchandikar examined certain NIFTY-50 stocks through CAPM in 2023. He discovered that stock returns are influenced by a factor known as risk, but the strength of this correlation can differ across various industries. His research indicated that investors should consider the conditions in a specific industry and firm when making investment choices.

In 2019, Kumar conducted research that modified the CAPM by incorporating liquidity risk into the Indian stock market. He discovered that taking liquidity into account affects stock returns. This research indicated that liquidity risk is an important factor to consider when analyzing stock behavior in regions such as India. The topics people discussed in the past also highlight the significance of considering behavioral finance when examining stock performance. Certain individuals believe that investors' emotions and decision-

making processes can influence stock prices and lead to irrational behavior. This mindset aids us in comprehending why the events in the world do not always align with our expectations.

When we examine everything that people have written, we observe that even though we understand that risk and return are linked in some way, real life often complicates this relationship. It relies on the current events in the market and which segment we are examining, along with the economic situation. In regions such as India, stock returns are influenced by numerous factors, including liquidity, investor sentiment, and the current economic situation. This is why examining certain stocks can aid in grasping how risk and return function, assisting investors in making informed choices regarding their finances.

Research Methodology

The present research employs a simple method to examine the connection between risk and return in specific stocks of the Indian stock market. This method aids in grasping the performance of these stocks. It additionally assists us in assessing and comprehending the risk and return of these stocks through financial and statistical methods. The research examines the historical performance of these stocks, making it logical to employ numerical data for analysis.

The research relies solely on existing information from reliable sources such as the National Stock Exchange, the Bombay Stock Exchange, along with company reports and financial databases. We analyzed these stocks by examining their closing prices over time. The research spans five years from 2020 to 2025, allowing us to observe recent market developments, including shifts and recovery patterns, such as those experienced during the COVID-19 pandemic.

We selected five firms that are traded on the Indian stock market for our analysis, namely Reliance Industries Limited, Tata Consultancy Services, Infosys Limited, HDFC Bank Limited, and ICICI Bank Limited. We selected these firms due to their size, the industry they belong to, and the availability of reliable data about them. These firms play a crucial role in the economy in sectors such as energy, information technology, and banking, so analyzing the Indian stock market and the connection between risk and return in these firms enhances our understanding across various industries, making the Indian stock market significant to examine in relation to risk and return.

This study primarily aims to examine the relationship between risk and return in specific stocks within the Indian stock market. This research aims to examine the earnings of these stocks, their level of risk, and whether the riskier stocks generate higher profits. It also aims to assess the performance of stocks in various regions concerning risk and return, enabling people to make informed choices about their investment locations.

The study employs financial and statistical methods such as average return, standard deviation, beta, and examining the relationships among variables. Average return assists in determining the performance of the stocks during the study period. Standard deviation indicates the extent to which stock prices fluctuate, serving as an indicator of their riskiness. Beta measures the extent to which stocks fluctuate in relation to the overall market movement. The research also examines the strength of the link between risk and return. This research is grounded in the concept that a relationship exists between risk and return for these stocks in the stock market. One suggestion is that there is no link between risk and return. The alternative notion is that taking risks leads to higher returns. The research collects information on stock prices, assesses the profits generated by the stocks, evaluates their risk levels, and examines the relationship between risk and return. The findings aid in determining whether the common belief that taking risks is necessary for greater returns holds true for the Indian stock market.

Data Analysis and Discussion

This research examines the relationship between risk and return in various Indian stocks. It evaluates the performance of five major companies: Reliance Industries, Tata Consultancy Services, Infosys, HDFC Bank, and ICICI Bank. The research employs metrics such as average return, standard deviation, beta, and correlation analysis to evaluate the performance of these Indian stocks. These instruments assist us in comprehending the performance of the stocks. If riskier stocks provide greater returns.

Table 1: Analysis of Risk and Return for Chosen Stocks

Company	Average Return (%)	Standard Deviation (%)	Beta (β)
Reliance Industries	14.5	18.2	1.10
TCS	12.0	15.5	0.90
HDFC Bank	11.2	14.8	0.85
Infosys	13.1	16.9	1.00
ICICI Bank	15.8	20.5	1.20

Source: Computed from stock price data (2020–2025)

Table 1 presents the average return along with the standard deviation and beta values for the chosen stocks. The findings indicate that ICICI Bank achieved an average return of 15.8 percent. Next is Reliance Industries with 14.5 percent. Subsequently, Infosys at 13.1 percent. On the other hand, HDFC Bank recorded the least average return of 11.2 percent. This indicates that the stocks performed differently in various regions.

Considering the risk, as indicated by the deviation, ICICI Bank experienced the greatest fluctuations at 20.5 percent. Following that is Reliance Industries at 18.2 percent and Infosys at 16.9 percent. HDFC Bank experienced fluctuations at 14.8 percent, indicating its stock performance was more consistent. This indicates that the stocks that performed well experienced significant fluctuations.

The beta values convey the same information. ICICI Bank's beta was 1.20, indicating it is more unstable than the market. Reliance Industries possessed a beta of 1.10, indicating it is more reactive to market fluctuations. Infosys had a beta of 1.00, indicating it fluctuates in tandem with the market. TCS and HDFC Bank had values under one, indicating they carry lower market risk. Beta values are present for ICICI Bank, Reliance Industries, Infosys, TCS, and HDFC Bank.

Table 2: Ranking of Stocks Based on Return and Risk

Rank	Company	Return Position	Risk Position
1	ICICI Bank	Highest	Highest
2	Reliance Industries	Second Highest	Second Highest
3	Infosys	Moderate	Moderate
4	TCS	Low	Low
5	HDFC Bank	Lowest	Lowest

Table 2 distinctly illustrates that the order for return and risk is quite similar. This indicates that stocks that perform well regarding returns also carry significant risk. ICICI Bank excels in terms of both return and risk. HDFC Bank ranks lowest for both returns and risk. This indicates that there is a relationship between risk and return. In comparing ICICI Bank and HDFC Bank, we observe that ICICI Bank offers high returns along with elevated risk, whereas HDFC Bank presents low returns and minimal risk. This illustrates the relationship between risk and return for stocks such as ICICI Bank and HDFC Bank.

Table 3: Correlation Analysis between Risk and Return

Variables	Correlation coefficient
Standard deviation and return	0.85

The relationship between risk and return is highly significant. Upon examining the figures, we discovered that the correlation between the two is eighty five percent. This implies that by taking risks, you typically receive higher returns. A value near one hundred percent indicates that as you increase risk, the return you receive also grows. Those who analyze finances have consistently claimed: taking risks yields greater returns.

Examining each company allows us to perceive this more distinctly. ICICI Bank embraced the risk and achieved the highest reward. This demonstrates that embracing risk can truly yield rewards. Reliance Industries also assumed considerable risk. Received a significant amount of returns. This is logical as they are a company that enjoys expanding and experimenting, and they are highly attuned to market trends. Infosys and TCS are tech firms that embraced risk and achieved moderate returns. They are managing fine. They are avoiding many risks. HDFC Bank accepted the risk and obtained the lowest return, yet they are very stable and would suit individuals who prefer not to take chances.

Table 4: Sectoral Comparison of Risk and Return

Sector	Company	Average Return (%)	Standard Deviation (%)	Beta (β)	Interpretation
Banking	ICICI Bank	15.8	20.5	1.20	Highest return and highest risk; aggressive investment option
Banking	HDFC Bank	11.2	14.8	0.85	Lower return with lower risk; stable investment option
Information Technology	Infosys	13.1	16.9	1.00	Balanced return and moderate market risk
Information Technology	TCS	12.0	15.5	0.90	Stable return with lower volatility
Energy / Diversified	Reliance Industries	14.5	18.2	1.10	High return with relatively high market sensitivity

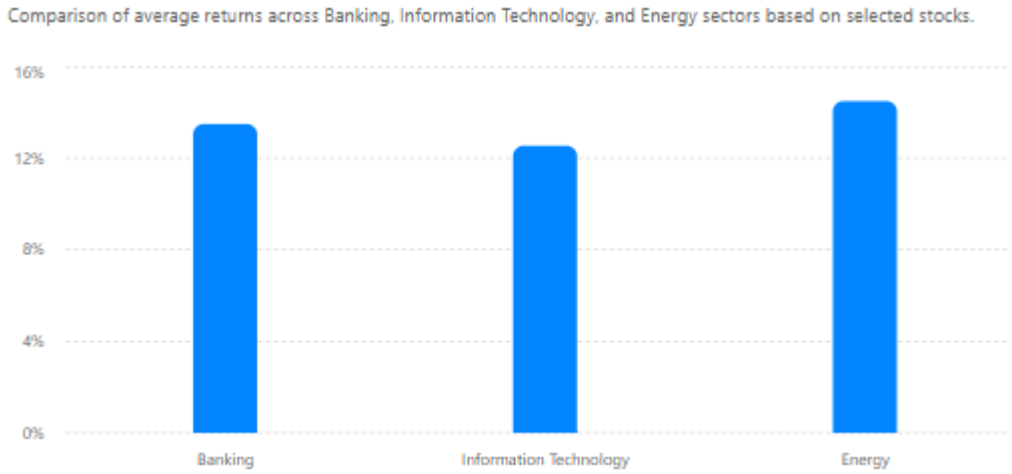
Source: Computed from stock price data (2020–2025)

The comparison among sectors reveals variations in the performance of the chosen stocks. The banking industry is chaotic, and ICICI Bank offered the best returns, yet it carries significant risks. HDFC Bank provided lower returns, yet they were steadier and exhibited less volatility. This implies that banking shares could appreciate, but there's also a risk of losing additional funds.

The information technology industry, encompassing Infosys and TCS, experienced consistent returns that were moderate and well-managed risk levels. This indicates that information technology shares are a good investment since they are less volatile than banking shares.

Reliance Industries, operating in the energy and diversified sectors, showed significant potential for returns. It is also highly responsive to market dynamics, and the risk is elevated. The performance of Reliance

Industries demonstrates that varied businesses can be a worthwhile investment, but caution is necessary as the market can be erratic.



The Indian stock market consists of sectors that yield varying average returns. The energy sector, represented by Reliance Industries, recorded an average return of 14.5 percent. This indicates that the energy industry is highly lucrative and possesses significant growth opportunities due to its various business types. The banking industry, exemplified by ICICI Bank and HDFC Bank, achieved a return of 13.5 percent. This indicates that the banking industry presents numerous growth opportunities. It can also be quite unpredictable. The information technology industry, represented by Infosys and Tata Consultancy Services, achieved an average return of 12.55 percent. This indicates that the information technology industry is steady. It doesn't increase significantly.

By comparing these sectors, we can observe that the sector type plays a crucial role in a stock's performance. The banking and energy sectors can provide returns, but the information technology sector offers more consistent returns. This is why investing in various sectors is a good idea. The banking industry may provide you with profits, but it also comes with higher risks. The information technology industry is more secure. It does not provide as substantial returns. The energy industry strikes a balance between substantial profits and consistency. These variations indicate that it's crucial to allocate funds across various sectors when constructing a portfolio.

This research revealed that the Indian stock market operates as expected. Riskier stocks typically provide you with returns. Factors such as government actions and public sentiment towards the market can also influence a stock's performance. If you're looking for returns, you may consider investing in higher-risk stocks such as ICICI Bank and Reliance Industries. If you prefer to avoid risk, you may consider investing in steadier stocks, such as HDFC Bank and TCS. Balancing risk and return is crucial when investing and

creating a portfolio. When investing, it's essential to consider the traits of the Indian equity market, energy sector, banking sector, and information technology sector.

Conclusion

The present study examined the relationship between risk and return in specific stocks within the Indian stock market. It accomplished this by analyzing the performance of five major firms: Reliance Industries, Tata Consultancy Services, Infosys, HDFC Bank, and ICICI Bank. The study utilized data from 2020 through 2025. Applied financial and statistical methods such as average return, standard deviation, beta, and correlation analysis to evaluate stock performance and the relationship between risk and return.

The study discovered that a link exists between risk and return in these shares. It demonstrated that stocks considered riskier due to deviation and beta often perform better. ICICI Bank performed the best. Was also the most perilous, whereas HDFC Bank performed less impressively and exhibited lower volatility. Reliance Industries performed admirably. Showed greater sensitivity to the market, whereas Infosys and Tata Consultancy Services performed adequately and maintained balanced risk levels. This aligns with the common belief regarding money and investing, such as Modern Portfolio Theory and the Capital Asset Pricing Model, which assert that higher risks yield more financial gains.

The correlation analysis emphasized this point further by demonstrating a link between risk and return. This implies that as risk increases, the profit you earn also increases. The study also discovered that this is not consistently accurate because various factors can influence stock performance, such as the economy, public sentiment about the market, governmental actions, and developments in specific industries. This implies that risk is not the sole factor influencing stock performance, and investors should consider other aspects as well when making financial decisions. The study examined the stock market and the relationship between risk and return for Reliance Industries, Tata Consultancy Services, Infosys, HDFC Bank, and ICICI Bank.

The stock market becomes quite fascinating when examining the different sectors. You are able to observe what is occurring in each one. The banking industry is performing strongly with elevated returns, but it can also be quite unpredictable. This is advantageous for investors who enjoy taking risks. The information technology industry is quite stable and offers returns, making it favorable for individuals seeking slow and steady growth in their investments. Reliance Industries is thriving in the energy sector due to its diverse businesses and expansion into new markets. Examining all these sectors reveals that investing in various fields is a good idea. This aids in decreasing the chance of losing funds.

What this study teaches us is that recognizing the connection between risk and return is essential for making investment choices. Investors need to consider the potential earnings and the level of risk they are assuming

prior to making an investment. Having a portfolio with investments across various sectors allows you to mitigate risk and achieve optimal returns. This is a method to put money into the stock market.

Based on what we found out here are some suggestions for investors and portfolio managers:

- First investors should spread their investments across areas to lower risk. For example investing in banking IT and energy sectors can help balance returns. Reduce volatility.
- Second investors need to know how risk they can take before investing. Stocks that are risk may give more returns but they also have more uncertainty and potential losses. So investments should match the investors goals and how much risk they can handle.
- Third investors should not just look at returns when choosing stocks. They should also think about the companys basics, economic trends, industry growth and market conditions.
- Fourth long-term investment strategies are an idea. Short-term market changes can create ups and downs but long-term investments often give better growth opportunities and stability.
- Finally keeping an eye on the market is crucial for managing portfolios. Investors should stay updated on market news, policy changes and global economic events as these factors greatly affect stock performance.

Overall our study gives insights into how risk and return work together in the Indian equity market. It also stresses the need, for balanced investment decisions.

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